Airline Sustainability Reporting Handbook

Edition 2



IATA

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△ Foreword



Our understanding of any phenomenon remains dependent upon the data and information we can obtain regarding what is being studied. For example, there are too few data before 1880 for scientists to estimate average temperatures for the entire planet prior to that year. Measurements of atmospheric CO_2 began at Mauna Loa in Hawaii in 1958, limiting our awareness of earlier such developments. The first separate environmental reports were also published rather recently, in 1989, by several multinational corporations. The fact that the world is now engaged in a great effort to bring greater clarity to these, and other sustainability considerations is a very positive development which we support wholeheartedly.

In addition to the information value of the data collected which helps advance our understanding from a science and research point of view, many stakeholders have keen interests in receiving such reports. Regulators are increasingly requiring firms to disclose various types of information relating to their sustainability performance, strategies, and risk analyses. This is of course of great value to the regulators as they strive to promote transparency, accountability, and the safeguarding of financial stability, among others. Investors and other stakeholders are in need of similar disclosures for improved decision making.

A particular challenge in this respect is the lack of harmonization and standardization of reporting, without which the disclosures will not be comparable and therefore of much reduced value. A further concern is the burden created upon all reporting entities which in an of itself can have the perverse effect of discouraging efforts in this regard.

This handbook aims to reduce the burden of reporting for airlines and to encourage others to be transparent about their corporate responsibility activities and sustainability performance.

It is based on the Global Reporting Initiative's (GRI) sustainability reporting standards, the leading set of such standards in the field today. These disclosures are not mandatory. The handbook provides general guidance for GRI reporting and is not specific to individual airlines. The material topics enclosed provided a basis for reporting but should not substitute for an airline conducting its own materiality analysis and stakeholder engagement.

The handbook will be updated regularly to reflect the rapidly evolving developments in this still nascent field.

Marie Owens Thomsen
Senior Vice President, Sustainability and Chief Economist
IATA

Glossary

The GRI Standards each contain a glossary of related terms; refer to these for specific definitions. Definitions included here that originated with GRI are marked '(GRI)'.

Aspects—Material Aspects are issues that are significant to a business' economic, environmental and social impacts and that substantively influence the assessments and decisions of its stakeholders.

Boundary—Having identified its material aspects, an organization must assess and describe whether the impact of each one lies inside or outside the organization. This is the 'boundary'. For example, for some companies, biodiversity is an issue.

Corporate (social) responsibility—the actions of a business to manage its impacts on the economy, environment and society. Also known as CSR, corporate sustainability, sustainable business, corporate conscience, corporate citizenship and responsible business.

Disclosures—metrics that organizations can use to report their performance.

△ **ENCOM—**the IATA Environment Committee. From 2020, ENCOM became the IATA Sustainability and Environment Advisory Council (SEAC).

ESG—environmental, social and governance.

GRI—the Global Reporting Initiative, sustainability reporting standards setter.

△ **GRI Standards 2021—**international sustainability reporting standards, update 2021.

Human trafficking—Article 3 of the UN Trafficking Protocol defines human trafficking as "the recruitment, transportation, transfer, harbouring or receipt of persons, by means of the threat or use of force or other forms of coercion, of abduction, of fraud, of deception, of the abuse of power or of a position of vulnerability or of the giving or receiving of payments or benefits to achieve the consent of a person having control over another person, for the purpose of exploitation".[1]

IIRC—International Integrated Reporting Council.

Integrated Reporting (<IR>)—which incorporates appropriate material sustainability information equally alongside financial information provides reporting organizations with a broad perspective on risk.

Impact—(GRI) the effect an organization has on the economy, the environment, and society, which in turn can indicate its contribution (positive or negative) to sustainable development.

Materiality—Materiality is the threshold at which the sustainability subjects covered by the Guidelines–known as 'Aspects'–become sufficiently important that they should be reported.

[1] UNODC, 2004. United Nations Convention against transnational organized crime and the protocols thereto.

Material topic—(GRI) topic that reflects a reporting organization's significant economic, environmental and social impacts; or that substantively influences the assessments and decisions of stakeholders.

Materiality analysis—the process of determining the company's material topics.

Stakeholder engagement—the process of defining and engaging the company's stakeholders in the sustainability reporting process.

Suppliers, tier X—the supply chain can be categorized in tiers; tier 1 suppliers are manufacturers that supply the reporting airline directly. For each subsequent tier, there is a supplier in between the airline and the supplier in question–for example, a company that manufactures headphones might be a tier 2 supplier if the airline buys the headphones from a distributor, which buys them from the manufacturer.

△ **Sustainable Development Goals (SDGs)—**the 17 SDGs were adopted by all United Nations member states in 2015 and provide a framework for sustainable global development. (See **Annex D–Reporting on the SDGs Using GRI Disclosures** for more detail).

Sustainability/sustainable development—(GRI) development that meets the needs of the present without compromising the ability of future generations to meet their own needs.

Tonnes—in this handbook, tonnes refer to metric tonnes (written by GRI elsewhere as tons or metric tons).

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WBCSD—World Business Council for Sustainable Development.

Chapter 1—Introduction

The air transport sector has a significant impact on the world's economy. It brings people together and recognizes it has a role to play in reducing its environmental footprint. Widespread reporting will assist the airline sector in demonstrating its true global value.

Airlines are working together to reduce their impacts, and transparency in the industry is facilitating this. Through sustainability and integrated reporting, airlines are disclosing their performance on economic, environmental, social and governance issues; however, the metrics underpinning these reports are not consistent. There is an opportunity for more consistent reporting given the homogenous nature of the airline sector and the common sustainability challenges it shares.

Industry-standard disclosures will assist airlines with reporting according to the Global Reporting Initiative (GRI) Standards by providing a framework of topics and specific indicators to report on. This handbook aims to reduce the burden of reporting for airlines and to encourage others to be transparent about their corporate responsibility activities and sustainability performance.

1.1 How this Handbook was Created

In the CSR Reporting Framework Survey 2016,[2] many IATA members noted that reporting was a long and burdensome process, often requiring consultants, which meant the companies had reduced capacity to implement activities that could increase their sustainability performance. Respondents requested airline-specific guidance on GRI reporting, and the process to gather input began in 2017.

△ This handbook was developed based on industry input through a survey and four facilitated workshops, and background research on the current state of reporting in the airline sector as well as major industry trends. For more information refer to Annex A.

□ For the purpose of this update, no new survey was conducted. Only the new GRI 2021 standards available as of 5 October 2021 were considered, as well as new information gathered from current background research and trends.

1.2 How to Use this Handbook

The airline sustainability reporting handbook puts GRI sustainability reporting in the context of the airline sector to help them navigate the **GRI Standards** and report their **corporate responsibility** activities and **sustainability** performance.

There are material topics for the airline sector that are not covered specifically in the GRI Standards. Through a series of surveys and workshops held with IATA members in 2017 and 2018, eight important sustainability topics requiring guidance for airlines to report on were established. These are listed in Section 2.6. This

[2] IATA, 2016. ENCOM CSR Reporting Framework Survey.

handbook contains an overview of the topics and a list of **disclosures**–GRI and non-GRI–is recommended under each topic. New disclosures that can assist airlines in reporting on these topics were also defined through the workshops and are referred to as airline disclosures in this handbook.

For reporting on the material topics, this handbook contains:

△ • A table of suggested disclosures for each topic in Annex B.

- A list of guidance for reporting on some of the suggested GRI disclosures in Chapter 3.
- Airline disclosures, which are potentially relevant to airlines and cover airline-specific metrics. These disclosures are not covered by the GRI Standards and are included as additional suggested disclosures that may be material to specific airlines. These disclosures are discussed in Chapter 3.

For disclosures from the GRI Standards that are recommended, reporting requirements can be found in the relevant GRI Standards.

△ These tables, guidance and disclosures are intended for use alongside the GRI Standards and other external reference materials cited herein. There is a list of reporting resources in Annex C, including links to download them.

△ This handbook provides baseline guidance for reporting airlines to use alongside the GRI Standards. It is not an exhaustive list of topics, nor is it specific for each individual company. The reporting airline should use this as a basis for reporting on the eight topics likely material for the industry as a whole but should carry out its own **stakeholder engagement** process and **materiality analysis** in addition, to assess their applicability and relevance and identify any additional **material topics** to include. In order to be in accordance with the GRI Standards, the reporting airline must report on all its material topics.

What You Need to Get Started:

- The GRI Standards

△ • The disclosure tables in Annex B of this handbook

△ • The IATA guidance and disclosures in Chapter 3 of this handbook

1.3 Topics Covered in the Handbook

Through the survey, research and workshops, eight topics were identified as likely to be material to airlines and that may require additional guidance. Airlines should conduct their own materiality assessment to determine if these are material to them, and to identify any other topics that would be material. The topics chosen for this handbook are presented below in alphabetical order:

- Conduct and compliance
- Customer experience
- Energy and emissions
- Labor conditions

- Noise
- People and development
- Supply chain sustainability
- Waste and effluents

Notes on Materiality and Boundary setting for each of the eight material topics included in this handbook can be found in the disclosures section.

△ There are some sector-specific material topics that are not covered here, including humanitarian response, unaccompanied minors, human trafficking, the carriage of illicit goods (drugs, money, wildlife, counterfeits), and role in pandemics. For a full disclosure on material topics, it is recommended to use the *GRI 3: Material Topics 2021*–to report on the airline's approach to each topic.

1.4 Sustainability Reporting

△ According to global auditing firm PwC, "We know it's important to build trust with our stakeholders and we're committed to enhancing our own reporting to help build that trust."[3] One way for a company to establish and maintain trust is to be transparent about its impacts; sustainability reporting is the tool with which to do that. According to GRI, the GRI Standards enable any organization–large or small, private or public–to understand and report on their impacts on the economy, environment and people in a comparable and credible way, thereby increasing transparency on their contribution to sustainable development."[4]

△ Transparency is the basis for building trust, which in turn is a fundamental requirement of a sustainable economy. Transparency also leads to better decision making, which, again, supports a culture of trust. Target 12.6 of the Sustainable Development Goals (SDGs) recognizes this by encouraging companies to "adopt sustainable practices and to integrate sustainability information into their reporting cycle."[5] Governments are able to monitor and track progress towards this SDG using a methodology collectively developed by UNCTAD and UNEP which builds upon existing corporate sustainability reporting standards and frameworks[6], and the Partnership Platform that is a global registry of voluntary commitments and multi-stakeholder partnerships made by stakeholders in support of the implementation of the Sustainable Development Goals[7].

△ However, the benefits of reporting go beyond promoting transparency for sustainable development: making abstract issues tangible and concrete; guiding the development of sustainability-related strategies and activities; helping to set goals, measuring performance and managing change; inspiring accountability helping to identify and to manage risks, and enabling organizations to seize new opportunities; contributing to improving governance and stakeholder relations, enhancing reputation and building trust; enabling better-informed dialogue and decision-making for all stakeholders; allowing for improved data comparability between

[3] PwC Network, 2022. Climate-related disclosure reports.
[4] GRI, 2022. Continuous improvement.
[5] United Nations, 2015. UN Sustainable Development Goals Knowledge Platform: SDG 12.
[6] UNEP, 2022. Indicator 12.6.1.
[7] UNDESA, 2022. The Partnership Platform.

organizations.[8] One of the major external benefits of reporting, therefore, is that it can help a company mitigate or even reverse its negative economic, environmental and social impacts and improve its governance. As such, reporting helps a company improve its reputation and brand loyalty. Reporting gives stakeholders a clear picture of a company's true value and demonstrates its connection to sustainable development issues.

As well as enabling the company to ensure it is compliant with all the relevant regulations, reporting can enable the company to go beyond what's required and embed sustainability into its strategy. Therefore, linking financial and non-financial performance more strongly and influencing long-term business decisions. The act of measuring performance over time gives the company a better understanding of its position, highlighting the risks and opportunities ahead, and giving advanced warning of emerging issues that might affect the business in the future. Measuring performance across a range of non-financial indicators means the company can also identify areas for improvement, thereby streamlining its processes, improving efficiency and reducing costs.

△ Thousands of organizations around the world use the GRI Standards for their sustainability reporting; as of 2020, 73% of the world's 250 largest companies by revenue use GRI guidelines or standards, 67% of the top 100 companies by revenue in 52 countries and jurisdictions use GRI guidelines or standards, 168 policies in 67 countries around the world reference the GRI Standards or require their use.[9]

By using international reporting standards, companies contribute to global transparency and enable benchmarking across and within sectors, geographies and time. The GRI Standards are the world's most widely used standards for sustainability reporting.[10]

□ During 2022, GRI started a collaboration with the International Sustainability Standards Board (ISSB), recognizing the need of harmonization of the sustainability reporting landscape at an international level. The work with the IFRS Foundation provides clarification and alignment.[11]

1.5 Sustainability Reporting in the Airline Sector

Statistics for reporting on sustainability performance are similar in the airline sector. According to a 2017 report by PwC,[12] 90% of the 45 major airlines surveyed issue a sustainability report. This is a promising improvement from PwC's 2011 report[13] when only 65% were issuing reports.

PwC's 2017 research revealed that most airlines surveyed are reporting extensively on their energy and emissions, focusing on their progress to reduce CO_2 emissions (90% in 2017, compared to 67% in 2011). Yet the same cannot be said for other material topics–according to PwC, reporting on other topics is still "immature." And while reporting practices have improved over the years between reports, there is still a question over quality and comparability. In 2011, the airlines scored an average of 38% on quality against

[8] GRI (consulted 2022). The value of sustainability reporting and the GRI Standards.
[9] GRI (consulted 2022). The value of sustainability reporting and the GRI Standards.
[10] GRI, 2022. About GRI.
[11] GRI, 2022. GRI and ISSB provide update on ongoing collaboration.
[12] PwC, 2017. Enhancing trust in the air: creating sustainable connections.
[13] PwC, 2011. Building trust in the air: Is airline corporate sustainability reporting taking off?

PwC's matrix of an ideal report. To raise that score, the recommendation was that "airlines need to take a comprehensive approach, integrate corporate sustainability with overall strategy, and listen and respond to stakeholders." This has happened to some extent, but still, only 19% of companies have integrated sustainability into their business strategy, and very few companies have integrated reporting on their strategy, governance and financial performance with information about the company's sustainability performance.

This handbook aims to address one of the major issues: that there is no agreement on sector-wide material topics and associated indicators, which has led to a limited comparability in the sector. Currently, airlines use many relevant indicators, but they are not the same across the sector. Even when two airlines use the same indicators, their data may not be comparable if they have made different assumptions in the calculations, used different units or set different boundaries for the information.

1.6 Big Trends Affecting the Airline Sector

There are many drivers of change impacting the airline sector. This section highlights the diversity of topics from climate change to increasing regulations, to customer data and other social, economic and financial trends. The first step towards comparable data is deciding what is most material to manage, measure and report. Some trends have pushed the industry into specific directions. For example, for many sectors, climate change is top of the agenda for the airline sector, driving airlines to report their energy use, carbon emissions and approaches to mitigating their impact on climate change. Stakeholders–including investors and customers–are asking to see the numbers, making communication key. An airline-specific reporting guidance would be beneficial for the industry to react to the most important trends impacting the sector.

△ In 2019, airlines emitted 915 million tonnes of CO_2, accounting for 2.1% of the world's anthropogenic carbon emissions. 80% of this is from long-haul flights of further than 1,500 km, for which there is no practical alternative.[14] Due to COVID-19, emissions decreased in 2020 and then recovered in 2021 reaching 516 million tonnes of CO_2.[15] There is a positive story to be told here: since 1990, over 9 billion tonnes of CO_2 emissions have been avoided, thanks to new technology and improved infrastructure and efficiencies. But there is pressure to continue reducing emissions while passenger numbers grow.

Increasing regulation is a constant challenge for airlines, ranging from those that limit an aircraft's emissions or noise, those that prevent the reuse and recycling of international waste and those that require mandatory training on issues such as human trafficking. Airlines that operate across many borders with wide supply chain networks are increasingly faced with the emergence of widespread national sustainability legislation.

△ Emerging issues relating to customers and data are having an effect too. With an estimated 4.56 billion passengers carried by airlines in 2019,[16] customer privacy is critical. As of 2018, airlines operating in Europe or handling the details of European passengers must be compliant with General Data Protection Regulation (GDPR), and there are stringent fines for failures in cybersecurity and data leaks.

[14] Air Transport Action Group, 2020. Facts & Figures.
[15] IATA Net Zero Progress Report 2021.
[16] The World Bank (consulted 2022). Air transport, passengers carried.

Table 1: Drivers of change for the airline sector[17]

Society	Environment	Economy
Terrorism	International regulation of emissions & noise pollution	Strength & volatility of the global economy
New modes of consumption	Environmental activism	Price of oil
Tensions between data privacy & surveillance	Extreme weather events	Level of integration along air industry supply chain
Cybersecurity	Infectious disease & pandemics	
	Alternative fuels & energy sources	

As well as facing these existing and emerging challenges, there are many demands for rigorous, comparable data from airlines, as an excerpt from *Flying in Formation*[18] illustrates:

> "Increasingly, states and investors are asking businesses to report on sustainability actions and areas quite outside the normal day-to-day operations of most aviation partners. From legislation requiring reporting on actions to combat human trafficking, to regulations on disclosure on all aspects of corporate and social responsibility (CSR), reporting requirements are already becoming more granular. For an aircraft operator doing business in multiple jurisdictions worldwide, compliance with each state's individual system can be burdensome. Investors, too, are starting to seek detailed disclosure from many listed companies of the climate change risks to their businesses."

△ One important group of stakeholders demanding information is regulators. Governments, stock exchanges and other regulators are asking companies to report their performance in a range of areas, including environmental and social topics. In 2020, at least environmental, social and governance (ESG) 614 reporting provisions across 84 countries were covered under the Carrots & Sticks 2020 report.[19] On top of that, 120 examples of provisions follow a 'comply or explain' approach, with some 45 issued by stock exchanges and financial market regulators, and 62 by governmental departments or agencies.[20]

According to the World Business Council for Sustainable Development (WBCSD), this is not new, nor is it likely to stop. "Our analysis suggests these recent developments are not the exception. Across the 60 countries currently covered by the Reporting Exchange platform, there has been a 10-fold increase in the number of reporting requirements and guidance documents related to corporate reporting on ESG issues in the last 20 years."[21] Indeed, to date, there are more than 400 reporting regulations worldwide, and 100 policies in 50 countries that reference the GRI Standards.

Airlines have a shared value chain including common aircraft manufacturers, ground handling and maintenance services and as such, share similar groups of stakeholders and material issues due to this homogeneity. As a result, the airline sector lends itself to developing shared sustainability guidance. A 2016

[17] IATA, 2018. Future of the Airline Industry 2035.
[18] Air Transport Action Group, 2017. Flying in Formation.
[19] GRI, USB, 2020. Carrots & Sticks–Sustainability Reporting Policy: Global trends in disclosure as the ESG agenda goes mainstream.
[20] Ibid.
[21] WBCSD, 2017. Reporting matters.

IATA survey[22] revealed that more than 81% of airlines would appreciate sector-specific reporting guidance, particularly on stakeholder engagement, materiality, suppliers and value chain, and airline-specific indicators.

The aim of this handbook is to simplify and encourage reporting and drive transparency and performance improvements in the industry. It should be used in addition to the GRI Standards and is not specific to individual airlines, nor are the recommendations mandatory. The material topics enclosed should not substitute for an airline conducting its own materiality assessment.

[22] IATA, 2016. ENCOM CSR Reporting Framework Survey.

Chapter 2—The GRI Reporting Process

2.1 Using the GRI Standards for Sustainability Reporting

The GRI Standards are a set of interrelated reporting standards, enabling organizations to report publicly on their economic, environmental and social impacts and contribution towards sustainable development.

The set of GRI Standards includes:

△ • 3 universal Standards, applicable to all organizations:

  ○ GRI 1: Foundation. Introduces the purpose and system of the GRI Standards and explains the key concepts for sustainability reporting. It also contains 9 requirements and 8 principles for reporting.

  ○ GRI 2: General Disclosures. Used to report contextual information about the company and its sustainability reporting practices.

  ○ GRI 3: Material Topics. Used to disclose the company's process of determining material topics and how these are managed.

△ • Sector Standards, that provide information for likely material topics to be used as guidance when determining the organization's material topics. Only three Sector Standards have been developed by GRI (Oil and Gas, Coal, and Agriculture, Aquaculture and Fishing) and one under development (Mining).

△ • 31 Topic Standards, that contain disclosures on particular topics, used to report information according to the organization's list of material topics.

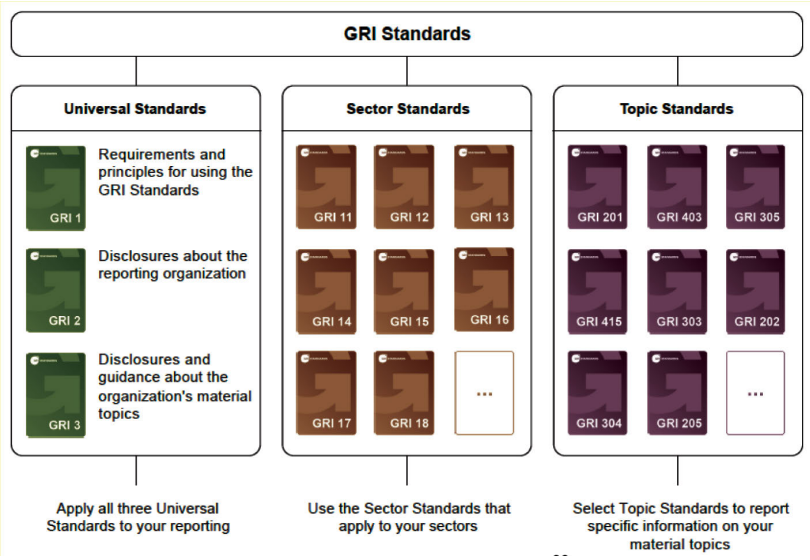


Figure 1: The GRI Standards[23]

[23] GRI, 2021. GRI Standards Resource Center.

To prepare a sustainability report in accordance with the GRI Standards, an organization applies the requirements and principles from *GRI 1: Foundation*. All organizations report the *General Disclosures* in *GRI 2*, to provide information about the reporting practices and the organization's activities and stakeholder engagement. *GRI 3* is used to determine the *Material Topics* and explain the impacts and how these are managed.

△ **Table 2: The GRI reporting requirements and principles[24]**

Reporting Requirements	Reporting Principles
Apply the reporting principles	Accuracy
Report the disclosures in GRI 2	Balance
Determine material topics	Clarity
Report the disclosures in GRI 3	Comparability
Report disclosures from the GRI Topic Standards for each material topic	Completeness
Provide reasons for omission for disclosures and requirements	Sustainability context
Publish a GRI content index	Timeliness
Provide a statement of use	Verifiability
Notify GRI	

△ In order to enhance the credibility of the sustainability reporting an organization can include the use of internal controls by the highest governance body; external assurance to assess the quality and credibility of the information; and convene a stakeholder or expert panel to review the approach to sustainability reporting. For more information, see *GRI 1: Foundation*.

△ Reporting with reference to the GRI 2 standards, considers a series of General Disclosures:

1. *The organization and its reporting practices*, that provides an overview of the organization, the sustainability reporting practices, and the entities included in the report.
2. *Activities and workers*, that provides an overview of the organization's activities, employees and other workers.
3. *Governance*, provides information about the structure, composition, knowledge, roles and remuneration.
4. *Strategy, policies and practices*, provides information about the sustainable development strategy, and the policies and practices for responsible business conduct.
5. *Stakeholder engagement*, provides information about the stakeholder engagement practices.

The stakeholder engagement process is a crucial one, as the reporting organization shall identify its stakeholders and explain how it has responded to their reasonable expectations and interests.

Stakeholders are entities or individuals:

- that can reasonably be expected to be significantly affected by the reporting organization's activities, products, and services, or

[24] GRI 1: Foundation 2021.

- whose actions can reasonably be expected to affect the ability of the organization to implement its strategies and achieve its objectives.

Stakeholders are critical for successful sustainability management and reporting. In the ENCOM CSR Reporting Framework Survey,[25] 87.5% of respondents said their report was prepared for stakeholders rather than to meet legislative requirements, and those stakeholders provide valuable input in the materiality analysis process.

Airlines have a far-reaching map of stakeholders, as shown in the Air Transport Action Group (ATAG) Global Air Transport Stakeholders map.

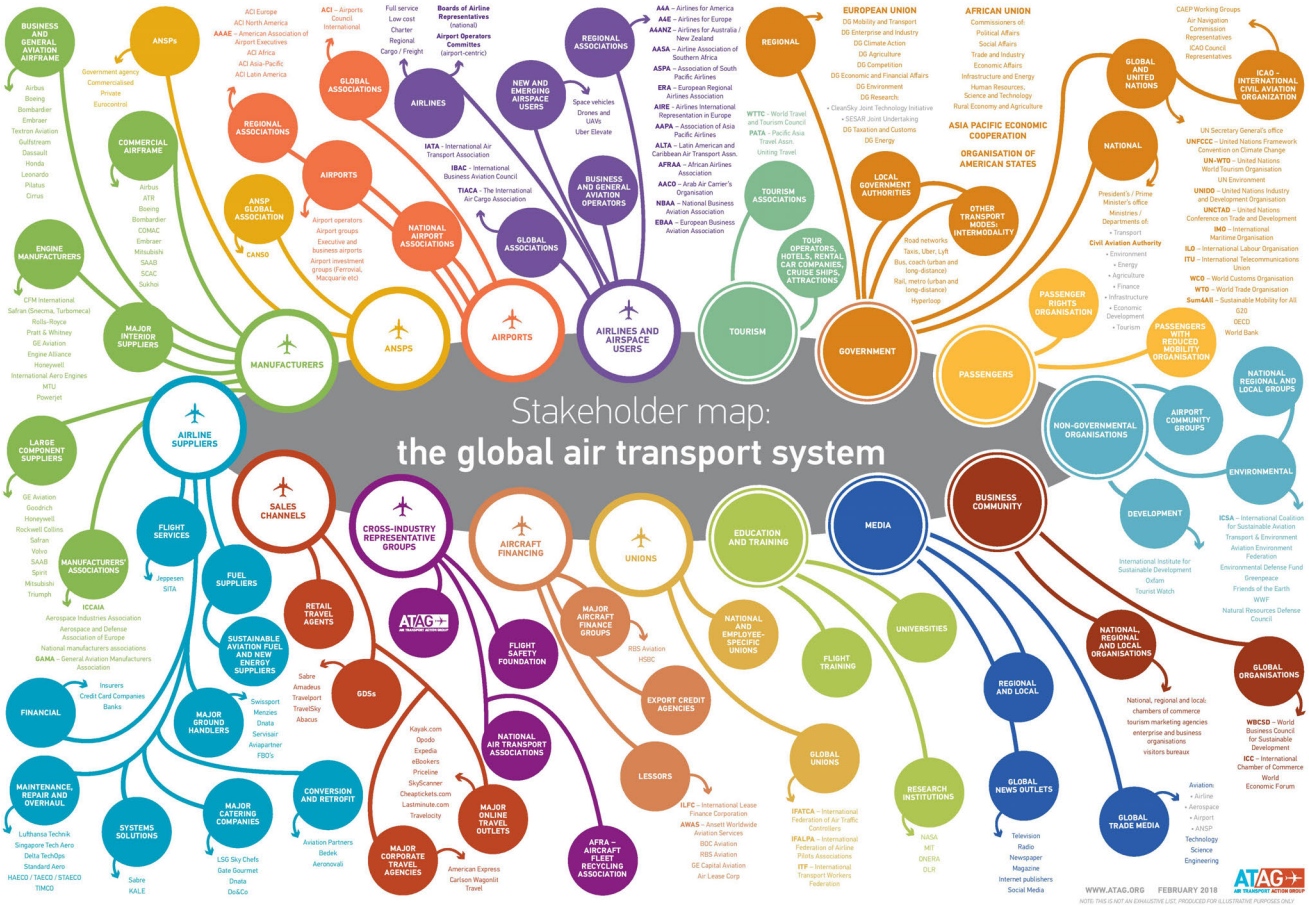


Figure 2: ATAG map of global air transport stakeholders (see enlarged version)[26]

The first step is to identify stakeholders the airline impacts or that (potentially) impact the airline. The most commonly mentioned stakeholders in reports issued by airlines in 2016 are:

- Investors
- Customers

[25] IATA, 2016. ENCOM CSR Reporting Framework Survey.
[26] ATAG, 2018. Global Air Transport Stakeholders.

- Employees
- Suppliers
- Government (/regulators)
- NGOs (/environment groups)

At a minimum, it is recommended that airlines include these stakeholder groups in their analysis. Other potentially important stakeholders include media, politicians, airports, industry associations, alliances and manufacturers.

The reporting airline should prioritize its stakeholder groups and decide who to engage in the reporting process, and how to engage them. Airlines should ensure internal stakeholders are prioritized as employee engagement is key to the success of the business, particularly because of its connection with customer satisfaction. A 2016 study[27] showed that companies that have excellent customer service have one-and-a-half times as many engaged employees. The sustainability reporting process provides an opportunity to engage staff on topics that are important to them and the business.

Stakeholder engagement is most effective when the company fosters a culture of openness and trust with its stakeholders, through full transparency in its relationships and day-to-day interactions. From that baseline, a number of specific activities can help airlines gather information about their stakeholders' interests when it comes to the company's material issues:

- Inviting representatives of different groups to take part in discussion groups
- Asking customers and employees to complete surveys
- Forming multi-stakeholder committees
- Holding management workshops
- Having calls or meetings with priority stakeholders
- Sending questionnaires to suppliers

The reporting airline should plan its engagement activities in the context of its own stakeholder map, choosing the right mix of channels for engagement and having clear objectives. Engagement should include providing stakeholders with feedback on the airline's activities and results connected to the material topics the stakeholders helped determine; the report itself will be a key element in this engagement.

The results of each engagement exercise should feed into a main list of the interests of each stakeholder group, which can then be used as input for the materiality analysis.

[27] The Tempkin Group, 2016. Report: Employee Engagement Benchmark Study, 2016.

2.2 Using the GRI Standards for Integrated Reporting

Integrated Reporting (<IR>) is linked to sustainability reporting–GRI was one of the co-conveners of the International Integrated Reporting Council (IIRC), which provides the International <IR> Framework–and GRI believes that "meaningful integrated reporting can only be accomplished through effective integration within reports that integrate sustainability data and robust sustainability metrics, identified through a multi-stakeholder engagement approach."[28]

The increasing number of regulations requiring non-financial information to be disclosed as part of the annual reporting cycle[29], along with a growing awareness of the risks and opportunities associated with social and environmental issues. This has led to an increase in integrated reporting, which has helped investors understand the sustainability metrics of the given company. However, it should be noted that the outcome of the GRI Standards is to provide information to all stakeholders involved and not just investors.

There are some fundamental differences, namely:

- An integrated report is a concise document targeted primarily at investors, whereas a sustainability report addresses a wider set of stakeholders
- The GRI Standards focus on the organization's impacts on sustainable development, while the International <IR> Framework suggests that a matter is material if "it could substantively affect the organization's ability to create value over the short, medium and long term"
- The International <IR> Framework provides principles-based guidance for companies wishing to prepare an integrated report
- The GRI Standards provide the Reporting Principles, Standard Disclosures and topic-specific disclosures organizations can use to prepare a sustainability report

According to the joint GRI-IIRC Corporate Leadership Group on Integrated Reporting, convened in 2016, "the International Framework and GRI Standards are not interchangeable reporting choices. The frameworks are built to meet different reporting needs: The International Framework to meet the reporting needs of investors, and GRI Standards to meet the broader sustainability reporting needs of all stakeholders."[30]

However, the experience of sustainability reporting is a necessary prerequisite for good integrated reporting, and the GRI Standards can be used as part of the integrated reporting process. The <IR> Framework is principles-based, which means it contains no performance disclosures. Reporting airlines can select their own disclosures to address the questions linked to eight content areas in <IR>–and the disclosures in the GRI Standards can be used for this purpose. Some organizations also use the Sustainability Accounting Standards Board (SASB) indicators.

[28] GRI, 2017. Forging a Path to Integrated Reporting.
[29] GRI, KPMG, UNEP and USB, 2016. Carrots and Sticks: Global trends in sustainability reporting regulation and policy.
[30] Ibid.

Sustainability reporting and integrated reporting share some common features:

- Materiality–the most material topics must be covered in the report
- Stakeholder engagement–stakeholders must be included in the determination of the most material topics

Reporting airlines may produce an integrated report to comply with regulations such as the EU non-financial reporting directive, but there are some clear benefits to more detailed sustainability disclosures, especially for larger companies. Sustainability reporting provides significant continuing value, complementing any sustainability data provided in the shorter integrated report. These reports have different audiences and purposes, so this additional sustainability information–whether it is published in a separate report or made available online–could provide more detail for a broader range of stakeholders than those addressed by the integrated report.

The tables, disclosures and commentaries in this handbook may help airlines identify the relevant disclosures for integrated reporting, following a materiality analysis and prioritization process.

2.3 Key Considerations for Defining and Reporting Material Topics

△ A good sustainability report should focus on material issues–impacts airlines have on the environment, the economy and society–and driving better practice. There are four main steps to the process of determining material topics, which require engagement with relevant stakeholders and experts.[31] Each reporting airline should do this individually, but there are some overarching recommendations for airlines in these areas.

1. *Understand the organization's context*: Apply the Sustainability Context Principle, ensuring the report presents the airline's performance in the wider context of sustainability. Identify potentially material topics.
2. *Identify actual and potential impacts*: Apply the Materiality Principle to prioritize material topics and decide on report content. The report shall cover topics that: reflect the reporting organization's significant economic, environmental, and social impacts; or substantively influence the assessments and decisions of stakeholders.
3. *Assess the significance of impacts*: Apply the Completeness Principle-publish a list of material topics included in the report, describe the Boundary for each topic and the time period used.
4. *Prioritize the most significant impacts for reporting*: For each cycle, a review of the report should be done with stakeholders and taking the airline's sustainability context into account.

Materiality Analysis

The report shall cover topics that:

- reflect the reporting organization's significant economic, environmental, and social impacts; or
- substantively influence the assessments and decisions of stakeholders.

[31] This is a summary; reporting organizations should refer to GRI 1: Foundation, for a detailed explanation of the reporting requirements.

☐ When setting the Boundary for each material topic, airlines should consider where their impacts occur. At a minimum, the reporting should focus on corporate activities and flight operations[32].

- Corporate activities: activities at local corporate buildings to be considered shall include facilities management; office activities; procurement of aircraft and aircraft cabin products as well as products related to; facilities management and office activities.
- Flight operations: global activities to be considered shall include aircraft taxi, take-off, cruise, approach and landing; cabin operations during flight; emergency and unforeseen situations related to flight operations

They should also report on whether the airline is reporting as a subsidiary or a group, and it should be made clear for each material topic in the report what the disclosures cover.

△ Other areas to be considered are listed in Figure 3.

Supply Chain	Inbound logistics	Operations	Outbound Logisitcs	Marketing and Sales	Corporate Services
• Engine manufacturing • Aircraft manufacturing • Large component supply • Catering supply • Fuel Supply	• Route selection • Passenger service system • Yield management • Flight/crew scheduling • Facilities planning • Aircraft acquisition	• Ticket counter operations • Gate operations • Aircraft operations • Onboard services • Baggage/ cargo handling • Ticket offices • Training	• Baggage tracking system • Flight connections • Rental car & hotel reservation system	• Global distribution systems (GDS) • Advertising • Frequent flyer programs • Travel agent programs • Group sales • Electronic tickets	• Lost baggage service • Complaint follow-up • IT services • Intellectual services (e.g. HR, advertising) • Property and facilities

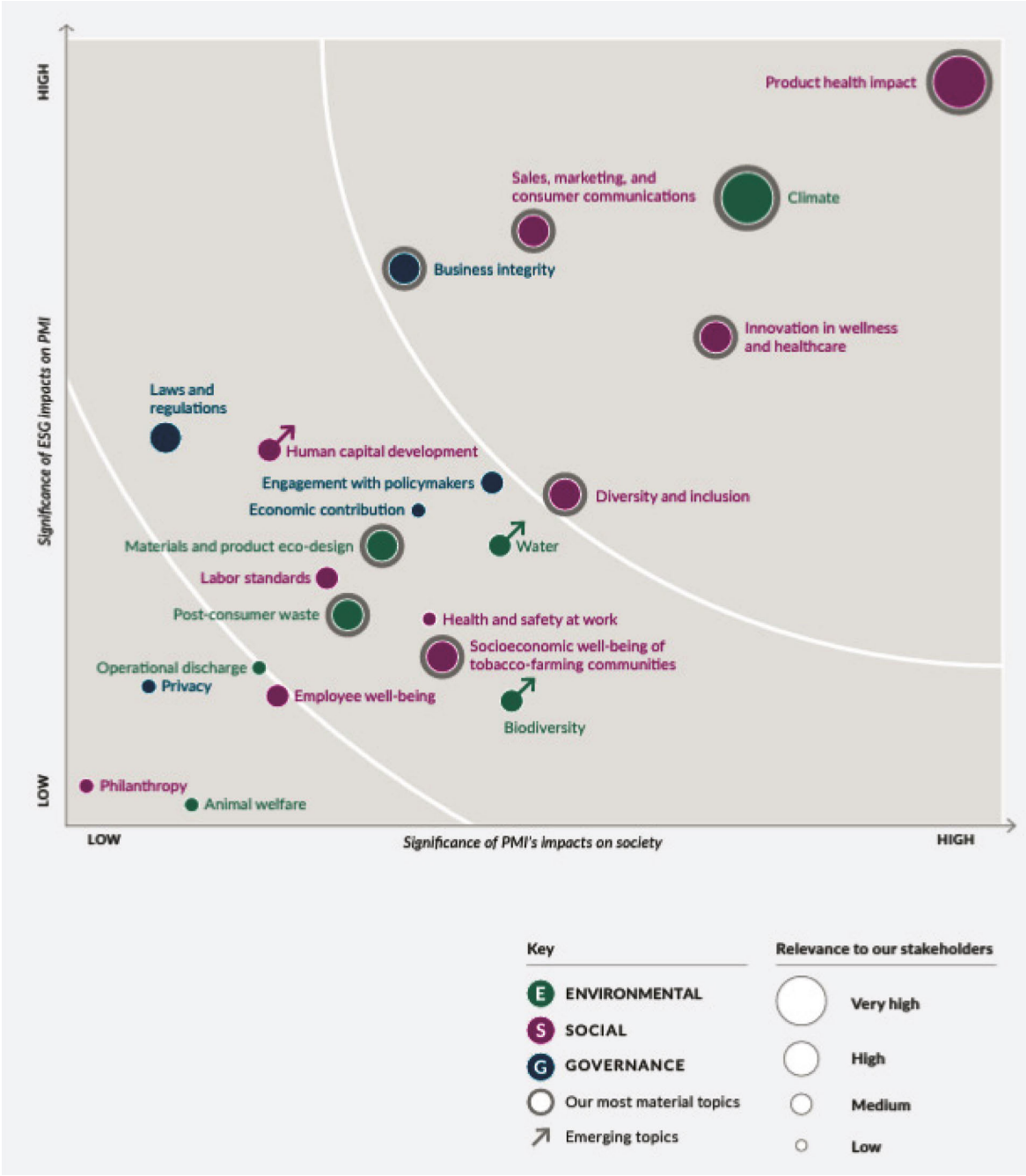
Figure 3: Airline reporting boundary mapping

In order to prepare a report in accordance with the GRI Standards, the reporting airline must determine its own material topics. The eight topics included in this handbook were determined by industry and reporting experts and practitioners and are deemed to be widely material for reporting organizations in the airline sector. These topics are not intended to be a definitive list and should be supplemented or replaced with topics identified as material by individual airlines. Airlines should undertake their own materiality analysis.

The resulting topics must be appropriately prioritized in the reporting process; organizations are advised to do this in dialogue with key stakeholders, through a process that "should be systematic, documented and replicable, and used consistently in each reporting period."[33] According to GRI, materiality "is the threshold at

[32] IATA. 2022. IEnvA Standards Manual for Airlines Edition 4.0, Section 3–Scope and Context, page 20.
[33] GRI, 2016. Defining What Matters.

which Aspects and other topics become sufficiently important that they should be reported."[34] Airlines may wish to prioritize their material topics by plotting them graphically, with 'influence on stakeholders' on the Y-axis and 'significance of impacts' on the X-axis as shown in Figure 4. Taking this approach, topics that appear towards the top right of the graph would be prioritized over those in the bottom left.



△

Figure 4: Materiality matrix shows how topics can be prioritized from Philip Morris International 2021 Sustainability Materiality Report.[35]

[34] GRI, 2016. Defining What Matters.

[35] Philip Morris International, 2021. 2021 Sustainability Materiality Report

△ All the priority material topics must be covered in order for the report to be considered 'in accordance' with the GRI Standards.[36] Also, the report must include how each material topic is managed, describing:

- Actual and potential, positive and negative impacts on the economy, environment and people;
- If the organization is involved with the negative impacts through its activities;
- Describe any policies or commitments;
- Describe the actions taken to manage the topic and related impacts;
- Track the effectiveness of the actions taken; and
- Describe the engagement with stakeholders for the actions taken.

[36] GRI, 2021. Foundation 2021.

Chapter 3—Airline Sector Disclosures

This section contains guidance and airline disclosures to use to report on each of the eight material topics identified for the airline sector, determined during industry workshops.

3.1 Guidance on Using the Disclosures

- Each topic is presented with background information that may be useful for materiality analysis and boundary setting.
- Each subsection contains relevant airline disclosures and guidance for some of the recommended GRI disclosures and can be identified using Figure 5.
- Annex B contains a table for each material topic with the suggested disclosures.
- Disclosures from the GRI Standards are referenced according to their disclosure number; reporting airlines will need to refer to the relevant GRI Standards for details.

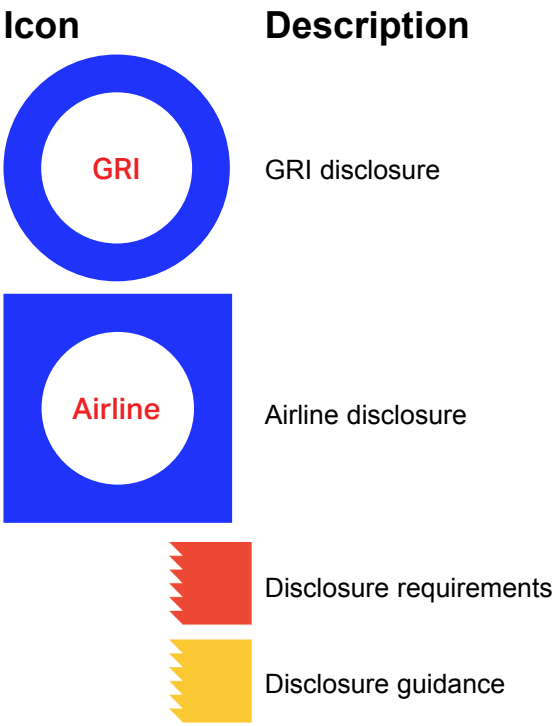


Figure 5: Legend

3.2 General Guidance for Disclosures

△ Disclosures on Material Topics

In order to provide information about the material topics, the reporting airline should report about the process followed to determine its material topics, disclose the list of material topics including any changes compared to the previous reporting period (if applicable), and the management of those topics using the disclosures below. For a report to be 'in accordance' with the GRI Standards, it is *required* to determine its material topics (using *GRI 3*) and report Disclosure 3-3 for all material topics not covered by the GRI Standards (namely noise and customer experience). It is also *recommended* to report other appropriate disclosures. It should be noted that it may not be possible to report on all disclosures, however, airlines should explain why this is not possible (e.g. national legislation)[37].



Process to determine material topics

△



List of material topics

△



Management of material topics

△

Guidance for all Employee-Related Metrics

Several of the disclosures for the material topics require employee-related metrics; reporting airlines are advised to refer to the following points when compiling their data:

- Express employee numbers as either headcount or Full-Time Equivalent (FTE)
- Express partial days as full-day equivalents
- △ Use data from Disclosure 2-7 in *GRI 2: General Disclosures* to identify the total number of employees

[37] GRI, 2021. GRI 1: Foundation 2021, page 6.

- Use data from Disclosure GRI 405-1 in *GRI 405: Diversity and Equal Opportunity* to identify the total number of employees by employee category
- State whether employees of third-party organizations are included in calculations
- Disclose and apply your approach consistently in the period, and between periods

3.3 Airline-Specific Disclosures

A. Conduct and Compliance

This topic is not intended to result in a list of regulations to which the airline must comply, but rather to make transparent the airline's processes, management approach to corruption and anti-competitive behavior, and incidences of non-compliance.

Materiality: An abundance of industry regulations make compliance an important part of airline operations.

Boundary: The Boundary should encompass the requirements of the relevant regulations that the reporting airline falls under.



△

Management of material topics for conduct and compliance

Report management of ethics, anti-corruption and labor practices; describe preventative measures and whistle-blowing procedures.



□

Communication and training about anti-corruption policies and procedures

Report the total number and percentage of employees that have received training on anti-corruption.



Confirmed incidents of corruption and actions taken

Report the total number of concluded corruption cases.



Substantiated complaints concerning breaches of customer privacy and losses of customer data

Report fines and substantiated complaints.

B. Customer Experience

This topic covers the way the airline approaches and manages customer experience, including complaints, incidences of non-compliance, and disruptions.

△ **Materiality:** Customers are fundamental to an airline's operations: airlines carried 4.5 billion passengers[38] in 2019 alone. Airlines are responsible for delivering a good service to customers and for ensuring their rights are granted when in their service. As stakeholders, customers have the power to affect an airline's reputation.

Boundary: The reporting airline should determine who their customers are and set the boundary accordingly.



△

Management of material topics for conduct and compliance

Report management of customer experience, including complaints, incidences of non-compliance, and disruptions.

[38] Air Transport Action Group, 2020. Aviation Benefits Beyond Borders.



Incidents of discrimination and corrective actions taken

In particular, the reporting airline should consider the following vulnerable passengers who may face discrimination: People with disabilities, elderly people, people with children, pregnant people, obese people, and people with hearing and vision impairments.



Customer satisfaction

The reporting airline should report:

(a) Results of any customer satisfaction surveys, studies or ongoing monitoring; and/or

(b) Customer Net Promoter Score (NPS) if available.

When compiling the information, the reporting airline should disclose and apply the approach to measuring satisfaction consistently in the period, and between periods.



Customer engagement

The reporting airline should report:

(a) Total number of users of the organization's mobile application(s), expressed as an absolute number and as a percentage of total customers;

(b) Total number of members participating in a loyalty program(s), expressed as an absolute number and as a percentage of total customers.

C. Energy and Emissions

Emissions represent the airline sector's biggest contribution to environmental sustainability. The topic energy and emissions cover the reporting airline's use of different energy sources and related emissions of carbon dioxide and other climate-relevant gases.

△ **Materiality:** Airlines are significant users of jet fuel (kerosene). Globally airlines spent 23.7% of their total expenses on fuel in 2019, at a total cost of $188 billion.[39] As such, they also have a significant carbon footprint. In 2021, airlines emitted 516 million tonnes of CO_2, recovering from a decrease in 2020 due to COVID-19.[40] Regulators, customers, investors and other stakeholders are increasingly demanding information on airlines' impacts in this area, as well as their actions to mitigate those impacts.

Boundary: Reporting airlines should disclose whether they control the ground operations. Reporting airlines should decide the extent to which they want to include their supply chain within the Boundary for this topic, in particular, for GRI Disclosure 305-3: Other indirect (Scope 3) GHG emissions.



△ Management of material topics for emissions

Reporting airlines can use *GRI 305: Emissions*: Topic management disclosures (reporting requirements in clause 1.2) to report using CDP CC13 'Emissions trading'.



Energy consumption within the organization

For jet fuel, report total consumption in liters (L).

For sustainable aviation fuel (SAF), report total consumption in liters (L). Where possible, also report the verified life cycle assessment (LCA) of the fuel.

An airline may decide to report fuel efficiency using liters of fuel per revenue tonne kilometer (L/RTK). State how RTK is calculated.

[39] Air Transport Action Group, 2020. Aviation Benefits Beyond Borders.
[40] IATA Net Zero Progress Report 2021.

For ground operations at home stations where operated by the airline, report:

- Percentage of renewable energy at home stations.
- Percentage of electric/alternative fuel vehicles.

GRI 302-2

Energy consumption outside of the organization

Ground operations run by selected third parties should be included if available.

Disclose the source of third-party information and state whether the third party discloses the data in their own sustainability reporting efforts.

GRI 305-1

Direct (Scope 1) GHG emissions

Airlines should report CO_2 emissions in tonnes (t) of CO_2-equivalent.

Airlines may use the industry-standard conversion factor for converting fuel mass into CO_2, equal to 3.16 (in kg CO_2/kg fuel) for Jet-A/A1 fuel or 3.10 (in kg CO_2/kg fuel) for AvGas/Jet-B fuel.[41]

The GHG Protocol defines two kinds of emissions:[42]

- **Direct GHG emissions** are emissions from sources that are owned or controlled by the reporting entity.
- **Indirect GHG emissions** are emissions that are a consequence of the activities of the reporting entity but occur at sources owned or controlled by another entity.

These are categorized into three scopes:

- Scope 1: All direct GHG emissions.
- Scope 2: Indirect GHG emissions from consumption of purchased electricity, heat or steam.
- Scope 3: Other indirect emissions, such as the extraction and production of purchased materials and fuels, transport-related activities in vehicles not owned or controlled by the reporting entity, electricity-related activities (e.g. T&D losses) not

[41] ICAO, 2018. Annex 16–Environmental Protection–Volume IV–Carbon Offsetting and Reduction Scheme for International Aviation (CORSIA).

[42] GHG Protocol, 2019. Calculation Tools: Frequently Asked Questions.

covered in Scope 2, outsourced activities, waste disposal (including methane emissions from landfilling), etc.

Reporting airlines wishing to report against the CDP's Climate Change Questions (2017) can use the GRI disclosures presented here. For a full breakdown of how CDP and GRI disclosures are linked, see the publication *Linking GRI and CDP*.[43]



GHG emissions intensity

For CO_2 emissions, report CO_2 efficiency in tonnes CO_2 per 100 RTK (tCO_2/100 RTK).

State how RTK is calculated.



NO_x, SO_x, and other significant air emissions

The introduction of improved engine designs over time has gradually reduced the emissions of oxides of nitrogen (NOx) and carbon monoxide (CO) and has almost completely eliminated emissions of unburned hydrocarbons (HC) and smoke. Given SO_X emissions relate to the quality of jet fuel used, it is difficult for airlines to monitor these. Airlines may have influence over the quality of jet fuel used at hub stations. However, for outstations, airlines have little control. As a result, only NOx is considered as a significant air emission to be reported under this metric.

For NO_X, report total landing and take-off (LTO) [<3000 ft] cycle emissions in kilograms (kg).

Airlines may also report:

- NO_x emissions intensity: kg NO_X per LTO (Landing and Take-Off) cycle (kg NO_X/LTO)
- separately for wide and narrow bodies.

For NO_X airlines can use the ICAO data bank.[44]

[43] GRI, 2018. Linking GRI and CDP: How are GRI Standards and CDP Climate Change Questions aligned?
[44] ICAO, 2019. ICAO Aircraft Engine Emissions Databank.



Significant spills

△

Airlines should report the following separately:

- fuel jettisoning during emergencies;
- release of halons (accidental or otherwise), through, for example, fire suppression systems.

Under impact of significant spills, airlines should include spills (e.g. jet fuel or de-icing liquid) of a reportable quantity of and their monitoring over time.

D. Labor Conditions

Connected to people and development, this topic is about the conditions under which people work at the airline, including their involvement in collective bargaining agreements and the labor conditions in the supply chain.

△ **Materiality:** As a direct employer of 11.3 million people, the airline sector is responsible for ensuring respectable working conditions.[45]

Boundary: The companies' responsibility extends beyond their own operations and into the supply chain. Reporting airlines should include at least Tier 1 suppliers (manufacturers that supply the airline directly) in the boundary for this topic and include the ground handling and catering supply chain in particular. The organization should also set a definition of 'local' for the disclosures under this topic.



Management of material topics for labor conditions

□

Report management of labor conditions, including collective bargain agreements and labor conditions in the supply chain.

□

[45] ATAG (consulted 2022) Employment.



Scale of the organization & New employee hires and employee turnover

Airlines should include the breakdown of data into the employee category, as described in the GRI glossary.



Ratios of standard entry-level wage by gender compared to local minimum wage & Proportion of senior management hired from the local community

Use a clear definition of 'local' and ensure consistency is kept in future reports.



Working days lost to strikes

The reporting airline should report:

(a) Total number of strikes that impact operations in the reporting period

  (i) Include the duration of each, and the total, in days

  (ii) Report the number of supplier's strikes separately

(b) Number of employees involved in strikes, broken down by event and type of involvement (direct, indirect)

  (i) Report this number as a percentage of the total number of employees

(c) Days lost per 1,000 employees

  (i) Report this for supplier strikes separately

To calculate the information, the reporting airline can use the following formula:

Days lost per 1,000 employees = (number of days lost/total number of employees) x1000

The reporting airline may choose to include strikes involving more than 10 employees or lasting more than one day (unless the total number of working days lost in the dispute is 100 or more). Working days lost are defined as the number of days not worked by people involved in a dispute at their place of work. Overtime and weekend working (if not a regular practice) are not included. Workers involved in more than one stoppage during the year are counted for each stoppage in which they take part.

Consult the International Labour Organization (ILO) for definitions and detailed recommendations or consult appropriate national legislation.[46]

Useful information is available from the UK Office of National Statistics (ONS)[47] and SASB TR-AL-310a.2.[48]



Hazard identification, risk assessment, and incident investigation

Include hazards such as bird strikes, lightning strikes, lithium battery fires and fuel jettisoning incidents.

Report hull loss rates; include data on IOSA (IATA Operational Safety Audit) and ISAGO (IATA Safety Audit for Ground Operations).



Worker participation, consultation, and communication on occupational health and safety

△ Describe the process for worker participation and consultation in the OHS management system. Include if formal management-worker committees exist and describe them.

△ When possible, report the number of health and safety representatives and the percentage of employees represented.

[46] ILO, 1993. Resolution concerning statistics of strikes, lockouts and other action due to labour disputes.

[47] ONS, 2007. Indicators to measure trade union membership, strikes and lockouts in the UK. Economic & Labour Market Review. 1 (9), p 40-47.

[48] SASB, 2018. Airlines: Sustainability Accounting Standard.



Work-related injuries

Include injuries such as those from exposure to extreme temperatures, effect of the pressure, falling objects and assault by a passenger.



Work-related ill-health

Report number and rate of sick days, number and rate of rest days, and average minimum hours of rest between shifts.

E. Noise

Noise refers to aircraft noise, and the report should reflect its impact on the local community, including through compliance with regulations. Noise-related injuries to employees should be reported under work-related injuries in GRI 403-9.

Materiality: According to ICAO, “Aircraft noise is the most significant cause of adverse community reaction related to the operation and expansion of airports.”[49] Aircraft noise affects local communities, which may include employees, and there are several industry requirements and regulations associated with this topic.

Boundary: The reporting airline should state whether there is an agreement with the hub airport to report on this topic, and review noise restrictions, quotas and mandates (including noise curfews) at the airports the airline flies to. If the airport manages noise, the airline should report on the fleet.



Management of material topics for noise

Report management of noise, including complaints and fines.

[49] ICAO, 2019. Aircraft Noise.



Noise

The reporting airline should report:

(a) Percentage (%) of the fleet that meets the limits of ICAO Annex 16, Volume I, Chapter 4 and Chapter 14.

(b) Fleet cumulative margin in relation to ICAO Annex 16, Volume I, Chapter 3.

Consult ICAO Annex 16–Environmental Protection–Volume 1–Aircraft Noise.[50]

Useful information is available from IATA on managing aircraft noise.[51]

F. People and Development

Employees are key to the success of an airline, so their engagement is vital. This topic covers the way the airline works with and supports employees, including through remuneration, training and health and safety.

△ **Materiality:** The airline sector employs 11.3 million people directly and supports 87.7 million jobs globally;[52] the United Nations World Tourism Organization estimates that aviation accounts for one in every 11 jobs and 30% of global services export income.[53]

Boundary: Given the number of jobs supported outside the airlines, the companies' impacts related to people and development reach into the supply chain and the community. Reporting airlines should, therefore, consider the Boundary for this topic to extend outside the company itself.



Management of material topics for people and development

□

Report management of people and development.

□

[50] ICAO, 2017. ICAO Annex 16–Environmental Protection–Volume 1–Aircraft Noise

[51] IATA, 2019. Aircraft Noise

[52] Air Transport Action Group. Employment

[53] Air Transport Action Group, 2017. Flying in Formation



Volunteering during working hours

The reporting airline should report:

(a) The total number of employees who volunteered during working hours during the reporting period, by employee category.

(b) Average hours of voluntary work that the organization's employees have undertaken during working hours during the reporting period, by employee category.

To calculate the information, the reporting airline can use the following formulas:

- Average volunteering hours per employee = total number of hours volunteered during working hours/total number of employees.
- Average volunteering hours per employee category = total number of hours volunteered by employees in a category/total number of employees in that category.

In addition to reporting hours, equivalent monetary and in-kind contributions can be reported.



Employee satisfaction

The reporting airline should report:

(a) The results of any employee satisfaction or engagement surveys undertaken during the reporting period.

(b) Any measures in place to improve satisfaction and engagement.

When compiling the information, the reporting airline should disclose and apply the approach to measuring satisfaction or engagement consistently in the period, and between periods.

G. Supply Chain Sustainability

This topic covers how the reporting airline manages key sustainability issues in the supply chain, including through sustainability screening and risk assessments.

Materiality: Suppliers play a crucial role in improving airlines' performance. Airline value chains include hundreds, and even thousands, of suppliers, providing everything from computer reservation systems to catering. There are increasing demands from regulators, investors, customers and other stakeholders to increase risk assessments, especially for suppliers in developing countries. The supply chain may be the biggest external threat to an airline's reputation, especially Tier 2 and beyond. The airline's potential and actual impacts on its supplier base, and vice versa, are significant.

Boundary: The reporting airline should state clearly how its supplier tiers are defined and report which tiers are covered in the report. At a minimum, it is recommended to include tier 1 suppliers–manufacturers that supply the airline directly.

GRI 3-3

Management of material topics for supply chain sustainability

△ Report on management of the supply chain, including key impacts, risks, and opportunities.

△ Report the percentage (%) of suppliers subjected to sustainability risk analysis, and the percentage (%) of total spend they represent.

GRI 2-6

Supply chain

The reporting airline should include:

- Type of suppliers
- Total number of suppliers, broken down by geographic location and by tier
- Percentage (%) of spend based on top 100 suppliers
- Percentage (%) of suppliers with sustainability policies or clauses in their contracts, and of those, the percentage that includes the disclosure of impacts and risks.

The ATAG Stakeholder map (see Figure 2) may serve as a useful aid.



Proportion of spending on local suppliers

Percentage of the procurement budget used for significant locations.

Use a clear definition of 'local' and ensure consistency is kept in future reports.



Negative environmental impacts in the supply chain and actions taken

Express the number of suppliers assessed for impact, and the number having significant actual and potential negative impact, as a percentage of total suppliers in the same tier.



Negative social impacts in the supply chain and actions taken

Express the number of suppliers assessed for impact, and number having significant actual and potential negative impact, as a percentage of total suppliers in the same tier.

H. Waste and Effluents

This topic covers how the reporting airline manages waste, including efforts to reuse and recycle, and compliance with regulations that impact those activities. This topic also covers water discharges.

Materiality: Airlines or their subcontractors generate a significant volume of waste from numerous sources, including cabin waste, MRO (Maintenance, Repair and Overhaul) operations and corporate activities. Cabin waste is an important customer engagement topic for airlines. Although the environmental impact may be relatively low compared to emissions, it is a visible indicator of environmental performance. International Catering Waste regulations make reuse and recycling of cabin waste particularly challenging. Emerging restrictions on single-use plastics will also be challenging for the sector.

Boundary: Airlines may have direct control of waste generated from corporate activities (offices), terminal, MRO, ground handling operations, cabin cleaning and catering waste removed from aircraft at their home stations. These should be considered within the Boundary for this topic. For waste activities at out-stations, or where it is handled by third parties (e.g. cleaning and catering contractors), airlines should incentivize the collection of waste data and influence appropriate waste management practices including reuse and recycling through contract clauses combined with third-party verification procedures.



Management of material topics for waste and effluents

△

Report on management of waste and effluents.

△



Water discharge

Airlines should review at which airports they undertake de-icing operations and determine the percentage (%) of fluids recovered/recycled.



Waste generation and significant waste-related impacts

△

Airlines should review their waste streams (including disposal routes) to determine where they have direct influence.

Airlines should include a review to determine which flights are subject to ICW regulations. This makes reuse and recycling challenging.



Waste generated

- Report all waste generated in metric tonnes, with a breakdown by composition.
- Where available, report average cabin waste per passenger for short and long-haul flights in kilos/passenger.



Waste diverted from disposal

- Report all waste diverted from disposal generated in metric tonnes, with a breakdown by composition. Where available, report the breakdown for hazardous and non-hazardous waste, and for incineration, landfilling and other methods.
- If possible, include in the report the waste diverted from disposal by type of operation (flight operations, corporate activities, MRO, etc.).



Waste directed to disposal

- Report all waste directed to disposal in metric tonnes, with a breakdown by composition. Where available, report the breakdown for hazardous and non-hazardous waste, and for incineration, landfilling and other methods.
- If possible, include in the report the waste directed to disposal by type of operation (flight operations, corporate activities, MRO, etc.). Minimum scope should include waste generated at home stations, as this information might not be available at outstations.
- All waste must go to a licensed facility for treatment or disposal.

Annex A—Handbook Development Process

CSR Reporting Framework Survey 2016

Of the 20 members surveyed, 17 airlines responded, 13 of which were producing a CSR report combining environmental, social and economic topics.

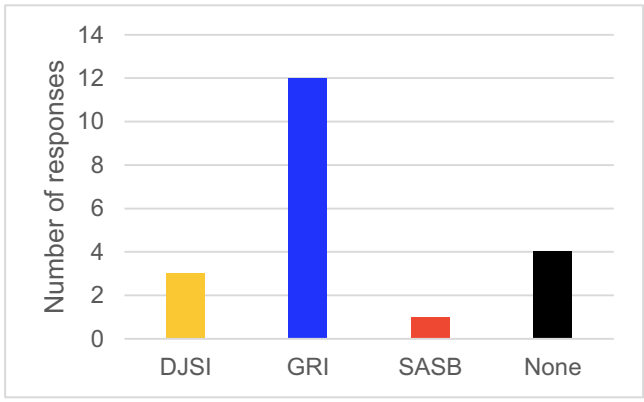


Figure 6: CSR frameworks used by survey respondents

Key results included:

- 70% of airlines used the GRI Guidelines (now Standards)
- It took 54 days, on average, to prepare a report according to the GRI Standards
- 81% said they would appreciate the development of a GRI airline sector guidance

The majority of respondents reported to meet stakeholder requirements rather than due to legal obligations, with the reporting geared towards engaging with customers, governments and regulators, NGOs and environmental groups, investors, employees and suppliers.

Analysis of Airline Sustainability Reports

An analysis of reports issued by airlines in 2016 has shown that 47 IATA members were reporting, and about 80% of the reports were aligned with GRI guidance (from citing GRI to reporting ‘in accordance’ with the G4 Guidelines).

Of the 47 reports, 10 were analyzed in detail, and some patterns emerged:

- 60% of reporting airlines described how environmental and economic topics relate to their long-term strategy, risks, and opportunities; this is not the same for social topics
- 40% of airlines referenced a wider ‘context’ (e.g. national goals and initiatives) informing their targets

- 50% cited the Sustainable Development Goals (SDGs)
- 90% involved stakeholders in their materiality process
- 30% were integrated reports

The analysis revealed 122 diverse aspects featured in the reports, which were then grouped into 19 material topics.

While many topics overlapped, there was inconsistency in the airlines' approach to boundary setting and reporting, with some describing the boundary for each material topic or group of topics, some for the whole report and others not at all.

Workshops

A series of four workshops were held for airline members, with the aim of determining the most material topics for airlines to report on, associated disclosures and relevant SDGs and targets. The modules covered various aspects of sustainability reporting in the airline sector, with several main goals:

- Increase knowledge on sustainability and related reporting for IATA members
- Update members with latest information related to international reporting trends, including the transition to the GRI Standards
- Provide an opportunity for peer-to-peer discussions and agreements on material topics and developing a common approach for relevant reporting indicators
- Increase the visibility of GRI reporting and dissemination of information to members
- Improve skills to help capture the value of sustainability reporting process within the respective airlines' organizations
- Increase awareness of the supportive reporting resources GRI offers and invite airlines to become more closely engaged with GRI

Annex B—Suggested Disclosures to Use for Eight Material Topics

During the GRI facilitated workshops, group exercises were conducted to determine which GRI disclosures could be used to report on each material topic. The tables below represent a non-exhaustive list of disclosures that airlines found useful (e.g. for ease of data collection).

For the full disclosures, reporting requirements and guidance, reporting airlines should refer to the GRI Standards. For the disclosures in red, there is additional airline-related guidance from IATA, available in Chapter 3 of this handbook.

A. Conduct and Compliance

△ **Table 3: Recommended disclosures for conduct and compliance**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-33	Management of material topics	GRI 103
GRI 2-23	Policy commitments	GRI 102-16
GRI 2-26	Mechanisms for seeking advice and raising concerns about ethics	GRI 102-17
GRI 2-9	Governance structure and composition	GRI 102-18 GRI 102-22
GRI 2-13	Delegating authority	GRI 102-19 GRI 102-20
GRI 2-12	Role of the highest governance body in overseeing the management of impacts	GRI 102-21
GRI 2-11	Chair of the highest governance body	GRI 102-23
GRI 2-10	Nomination and selection of the highest governance body	GRI 102-24
GRI 2-15	Conflicts of interest	GRI 102-25
GRI 2-29	Approach to stakeholder engagement	GRI 102-43
GRI 201-4	Financial assistance received from government	GRI 201-4
GRI 205-2	Communication and training about anti-corruption policies and procedures	GRI 205-2
GRI 205-3	Confirmed incidents of corruption and actions taken	GRI 205-3
GRI 206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	GRI 206-1
GRI 415-1	Political contributions	GRI 415-1
GRI 416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	GRI 416-2
GRI 417-2	Incidents of non-compliance concerning product and service information and labeling	GRI 417-2
GRI 417-3	Incidents of non-compliance concerning marketing communications	GRI 417-3
GRI 418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	GRI 418-1

B. Customer Experience

△ **Table 4: Recommended disclosures for customer experience**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 406-1	Incidents of discrimination and corrective actions taken	GRI 406-1
GRI 416-1	Assessment of the health and safety impacts of product and service categories	GRI 416-1
GRI 416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	GRI 416-2
GRI 417-1	Requirements for product and service information and labeling	GRI 417-1
GRI 417-2	Incidents of non-compliance concerning product and service information and labeling	GRI 417-2
GRI 417-3	Incidents of non-compliance concerning marketing communications	GRI 417-3
GRI 418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	GRI 418-1
Airline B-1	Customer satisfaction	Airline B-1
Airline B-2	Customer engagement	Airline B-2

C. Energy and Emissions

△ **Table 5: Recommended disclosures for energy and emissions**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 302-1	Energy consumption within the organization	GRI 302-1
GRI 302-2	Energy consumption outside of the organization	GRI 302-2
GRI 302-4	Reduction of energy consumption	GRI 302-4
GRI 303-1	Interactions with water as a shared resource	GRI 303-1
GRI 303-2	Management of water discharge-related impacts	GRI 303-2
GRI 303-3	Water withdrawal	GRI 303-3
GRI 303-4	Water discharge	GRI 303-4
GRI 303-5	Water consumption	GRI 303-5
GRI 305-1	Direct (Scope 1) GHG emissions	GRI 305-1
GRI 305-2	Energy indirect (Scope 2) GHG emissions	GRI 305-2
GRI 305-3	Other indirect (Scope 3) GHG emissions	GRI 305-3
GRI 305-4	GHG emissions intensity	GRI 305-4
GRI 305-5	Reduction of GHG emissions	GRI 305-5
GRI 305-6	Emissions of ozone-depleting substances (ODS)	GRI 305-6
GRI 305-7	Nitrogen oxides (NO_X), sulfur oxides (SO_X), and other significant air emissions	GRI 305-7
Airlines C-1	Significant spills	GRI 306-3

D. Labor Conditions

△ **Table 6: Recommended disclosures for labor conditions**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 2-6	Activities, value chain and other business relationships	GRI 102-7
GRI 2-7	Scale of the organization	
GRI 2-21	Annual total compensation ratio	GRI 102-38
GRI 2-30	Collective bargaining agreements	GRI 102-41
GRI 201-3	Defined benefit plan obligations and other retirement plans	GRI 201-3
GRI 202-1	Ratios of standard entry-level wage by gender compared to local minimum wage	GRI 202-1
GRI 202-2	Proportion of senior management hired from the local community	GRI 202-2
GRI 401-1	New employee hires and employee turnover	GRI 401-1
GRI 401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	GRI 401-2
GRI 401-3	Parental leave	GRI 401-3
GRI 402-1	Minimum notice periods regarding operational changes	GRI 402-1
Airline D-1	Working days lost to strikes	Airline D-1
GRI 403-2	Hazard identification, risk assessment, and incident investigation	GRI 403-2
GRI 403-4	Worker participation, consultation, and communication on occupational health and safety	GRI 403-4
GRI 403-9	Work-related injuries	GRI 403-9
GRI 403-10	Work-related ill-health	GRI 403-10
GRI 405-1	Diversity of governance bodies and employees	GRI 405-1 GRI 405-1
GRI 405-2	Ratio of basic salary and remuneration of women to men	GRI 405-2
GRI 406-1	Incidents of discrimination and corrective actions taken	GRI 406-1
GRI 407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	GRI 407-1
GRI 408-1	Operations and suppliers at significant risk for incidents of child labor	GRI 408-1
GRI 409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	GRI 409-1
GRI 412-1	Operations that have been subject to human rights reviews or impact assessments	GRI 412-1
GRI 414-1	New suppliers that were screened using social criteria	GRI 414-1
GRI 414-2	Negative social impacts in the supply chain and actions taken	GRI 414-2

E. Noise

△ **Table 7: Recommended disclosures for noise**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 413-2	Operations with significant actual and potential negative impacts on local communities	GRI 413-2
Airline E-1	Noise	Airline E-1

F. People and Development

△ **Table 8: Recommended disclosures for people and development**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 401-1	New employee hires and employee turnover	GRI 401-1
GRI 401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	GRI 401-2
GRI 403 (all)	Occupational Health and Safety	GRI 403 (all)
GRI 404-2	Programs for upgrading employee skills and transition assistance programs	GRI 404-2
GRI 404-3	Percentage of employees receiving regular performance and career development reviews	GRI 404-3
GRI 405-1	Diversity of governance bodies and employees	GRI 405-1
GRI 405-2	Ratio of basic salary and remuneration of women to men	GRI 405-2
Airline F-1	Volunteering during working hours	Airline F-1
Airline F-2	Employee satisfaction	Airline F-2

G. Supply Chain Sustainability

△ **Table 9: Recommended disclosures for supply chain sustainability**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 2-6	Activities, value chain and other business relationships	GRI 102-9
GRI 204-1	Proportion of spending on local suppliers	GRI 204-1
GRI 308-2	Negative environmental impacts in the supply chain and actions taken	GRI 308-2
GRI 414-2	Negative social impacts in the supply chain and actions taken	GRI 414-2

H. Waste and Effluents

△ **Table 10: Recommended disclosures for Waste and Effluents**

Updated Disclosure	Disclosure Description	Previous Disclosure
GRI 3-3	Management of material topics	GRI 103
GRI 301-1	Materials used by weight or volume	GRI 301-1
GRI 301-2	Recycled input materials used	GRI 301-2
GRI 301-3	Reclaimed products and their packaging materials	GRI 301-3
GRI 303-1	Interactions with water as a shared resource	GRI 303-1
GRI 303-2	Management of water discharge-related impacts	GRI 303-2
GRI 303-3	Water withdrawal	GRI 303-3
GRI 303-4	Water discharge	GRI 303-4
GRI 303-5	Water consumption	GRI 303-5
GRI 306-1	Waste generation and significant waste-related impacts	
GRI 306-3	Waste generated	GRI 306-2
GRI 306-4	Waste diverted from disposal	
GRI 306-5	Waste directed to disposal	
GRI 308-2	Negative environmental impacts in the supply chain and actions taken	GRI 308-2

Annex C—Additional Resources

Reporting Standards and Guidance

- GRI, *GRI Standards*
- IIRC, *International <IR> Framework*
- SASB, *Airlines: Sustainability Accounting Standard*
- △ WEF, *Measuring Stakeholder Capitalism*

Training

- A video on sustainability reporting with the GRI Standards
- GRI's Certified Training Program
- GRI Standards Exam

Tools

- GRI and UNGC, *SDG Compass*
- △ *UNGC and WWF, Poverty Footprint tool*
- Federal Aviation Administration, *Aviation Environmental Design Tool*

Publications

- △ GRI and UNGC, 2022. *Business Reporting on the SDGs: Analysis of The Goals and Targets*
- △ GRI, 2022. *Linking the SDGs and the GRI Standards*
- △ GRI and SASB, 2021. *A Practical Guide to Sustainability Reporting Using GRI and SASB Standards*
- △ ATAG, 2020. *Aviation Benefits Beyond Borders: Powering Global Economic Growth, Employment, Trade Links, Tourism and Support for Sustainable Development through Air Transport, despite global crisis*
- △ KPMG, GRI, UNEP, USB, 2020. *Sustainability Reporting Policy*
- ATAG, 2017. Flying in Formation: Air Transport and the Sustainable Development Goals
- △ GRI, 2017. *Forging a path to integrated reporting*
- KPMG and UNGC, 2016. *SDG Industry Matrix: Transportation*
- IFAC and IIRC, 2015. *Materiality in Integrated Reporting*

Information

- The GRI Community
- Integrating SDGs into Sustainability Reporting
- Aviation Benefits Beyond Borders: Aviation supporting the SDGs

Annex D—Reporting on the SDGs Using GRI Disclosures

The Sustainable Development Goals (SDGs) are at the heart of the 2030 Agenda for Sustainable Development, a plan that was adopted by all United Nations Member States in 2015. The 17 SDGs cover a range of issues, recognizing that "ending poverty and other deprivations must go hand-in-hand with strategies that improve health and education, reduce inequality, and spur economic growth–all while tackling climate change and working to preserve our oceans and forests."[54]

Under the 17 SDGs (shown in Figure 7) are 169 targets, providing a framework for sustainable global development. This framework also enables businesses to contribute to sustainable development and report their contributions.



Figure 7: Sustainable development goals

[54] United Nations, 2015. Sustainable Development Goals.

△ The top five medium-term risks highlighted in the World Economic Forum's Global Risks Report[55] all align with the SDGs, making it vital for businesses to address the issues. As the Business Development Commission states, "Countries must distinguish between different resilience goals to harness their collective capabilities more effectively and navigate the many inevitable trade-offs, as failure to appreciate where agendas are misaligned will limit the traction any solutions can gain."[56]

The benefits of contributing to the SDGs and reporting on the organization's progress are aligned with the basic benefits of sustainability reporting. According to Gold Standard and WWF,[57] benefits include access to a $12 trillion market opportunity, long-term value in new markets, customer trust and loyalty, lower costs from more efficient resource use and reduced risk.

△ Many companies are already taking action. According to WBCSD,[58] 94% of sustainability reports acknowledge the SDGs in some way; 34% prioritize 5-8 Goals to focus on. 35% of reports reviewed combine financial and non-financial information; 19% are self-declared integrated reports. 76% of reports reviewed reference the GRI; 75% of these claims to be in accordance with the Core or Comprehensive level recommendations.

Why? Addressing the SDGs gives airlines an opportunity to align their core business activities with society's needs, better focus their sustainability strategy and expand to new markets. Aligning with goals that are so important to the global community brings potential reputational benefits and enables airlines to meet stakeholders' demands.

The Relevance of the SDGs for Airlines

"Global aviation is a driver of sustainable development, bringing together people, businesses and communities and supporting trade and tourism. Safe, reliable, efficient and cost-effective air transport is an essential component of a broader mobility strategy to help achieve the United Nations 2030 Agenda for Sustainable Development. Supporting the spirit of the Sustainable Development Goals (SDGs) should be seen as an imperative by governments and aviation businesses the world over."–*Flying in Formation*.

The values of the SDGs were embedded in airlines already, but they now have labels, targets and potential disclosures, enabling airlines to measure and report their contributions. Transport–including by air–is a key element of meeting the SDGs. While airlines are already contributing in many ways, this can be improved.

The 2017 ATAG report *Flying in Formation*[59] outlines how the industry plays a role in 15 of the 17 SDGs. In the report, each SDG is assigned a score of 0-3 for direct relevance to global aviation, displayed as bars against each goal. The three-bar goals were: 5, 7, 8, 9, 10, 12 and 13. But the report stresses the need for airlines to assess the SDGs themselves to determine which goals are most relevant, urging organizations to "look at their own unique circumstances and assess how they can best serve the future of the industry, their workforce, their customers, their communities and the planet."

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55 World Economic Forum, 2022. The Global Risk Report 2022.

56 Ibid.

57 Gold Standard and WWF, 2018. Business and the Sustainable Development Goals: Best practices to seize opportunity and maximise credibility.

58 WBCSD, 2022. Reporting matters 10th anniversary edition.

59 Air Transport Action Group, 2017. Flying in Formation.

When it comes to reporting on contributions to the SDGs, one of the challenges is a lack of globally agreed indicators for each target of each goal. This leads to inconsistent reporting methods and therefore a lack of comparability.

Reporting Airlines' Contributions to the SDGs

In the first workshop held for this handbook, two groups of participants each established the top five SDGs, resulting in a list similar to that of *Flying in Formation*: 3, 7, 8, 9, 12, 13 and 14/15. In the fourth workshop, a more extensive mapping exercise was undertaken in which the SDGs were aligned with the eight material topics identified for the airline sector (shown in Table 11).

Table 11: Alignment of SDGs with eight material topics

Material Topic	SDGs
People and development	1, 3, 4, 5, 8, and 10
Labor conditions	3, 4, 5, 8 and 10
Energy and emissions	3, 6, 7, 9, 11, and 13
Conduct and compliance	5, 8, 10, 16 and 17
Noise	3, 9 and 15
Supply chain sustainability	1, 2, 4, 8, 9, 12, 14, and 15
Customer experience	12
Waste and effluents	6, 10, 12, 13, 14, and 15

Relevant SDGs can be identified during the sustainability reporting process, using the full list of SDGs and this table as references. There are also several tools that can help.

Developed by GRI and UNGC, the SDG Compass[60] provides an inventory of business indicators mapped against the SDGs and the targets. It also provides an inventory of business tools for impact assessments mapped against the SDGs and targets. It also outlines five practical steps to working with the SDGs:

1. Understanding the SDGs
2. Defining priorities
3. Setting goals
4. Integrating
5. Reporting and Communicating

[60] GRI, UNGC and WBCSD, 2015. SDG Compass.



Figure 8: Five steps to maximize a company's contribution to the SDGs (see footnote 58)

Based on the SDG Compass, *Integrating the SDGs Into Corporate Reporting: A Practical Guide*[61] provides a structured approach to reporting and action. It outlines a 3-step process anchored in the GRI Standards and the UN Global Compact Ten Principles:

- Step 1: prioritization of impacts and identification of relevant SDG targets
- Step 2: business objectives, disclosures selection and performance analysis
- Step 3: tips on how to report and improve

Business Reporting on the SDGs: An Analysis of the Goals and Targets[62] provides a list of possible actions companies can take per target, a list of established disclosures for reporting and a list of possible gaps where there are no established disclosures.

[61] GRI and UNGC, 2018. Business Reporting on SDGs. Integrating the SDGs into corporate reporting: A practical guide.
[62] GRI and UNGC, 2022. Business Reporting on the SDGs: Analysis of The Goals and Targets.

In the report, airlines can show the extent to which they are contributing to the SDGs relevant to their business. For example, this could be at three levels:

1. Avoiding doing harm: reporting on baseline policies and activity
2. Making a meaningful difference: reporting on activity and results
3. Driving change: evaluating activities and setting stretch targets

"Data needs to be quantitative so that progress toward the SDGs can be properly measured and compared, year-on-year. Case studies, quotes and photos can then be used to supplement reporting and communicate the 'human story' behind an initiative."–*Business and the Sustainable Development Goals: Best practices to seize opportunity and maximise credibility*.[63]

[63] Air Transport Action Group, 2017. Flying in Formation.

Annex E—Reporting on Pandemics

In the airline industry health-related issues concerning passengers and crew are crucial in most activities. The COVID-19 pandemic had a devastating effect on global aviation, impacting operations and, in some cases, worsening already difficult operating environments.

In a report made by S&P Global, it is mentioned that even though the industry is highly vulnerable to pandemic risks, before the COVID-19 outbreak airlines did not report on this topic as a risk and appear to lack comprehensive mitigation plans[64].

With probability of disruptive events to become more frequent, it is important for airlines to report and disclose information in relation to pandemics. For this, GRI recommends the use of the Occupational Health and Safety Standard (GRI 403, updated in 2018).[65]

Table 12: GRI 403 Occupational Health and Safety

Management Disclosures	
403-1	Occupational health and safety management system
403-2	Hazard identification, risk assessment, and incident investigation
403-3	Occupational health services
403-4	Worker participation, consultation, and communication on occupational health and safety
403-5	Worker training on occupational health and safety
403-6	Promotion of worker health
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships
Disclosures	
403-8	Workers covered by an occupational health and safety management system
403-9	Work-related injuries
403-10	Work-related ill health

In addition, S&P also mentions some elements that can help prepare for these types of events are[66]:

- Scenario analysis
- Set of measures to keep trust of customers and recovery plans
- Flexibility to allocate human and operational resources
- Frequent and transparent communication

[64] S&P Global, 2020. Early identification of pandemic risk and mitigating actions in the airline industry.
[65] GRI, 2020. Understanding health and safety impacts of the pandemic.
[66] Ibid.

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